

find productive areas in fifty-year-old fields that were thought exhausted. Even offshore, space satellites can confirm the position of drill ships within a few yards. Oil and gas companies have also benefited from new technologies that allow horizontal drilling, reservoir modeling, subsea completions—all of which have lowered finding costs. As I mentioned in the last chapter, I've invested in some of the smaller companies that use the new technology to tap marginal properties sold off by the majors.

And then there are the companies that put together invaluable databases. Among the stocks we've owned are IMS International, which owns a proprietary computer database servicing the pharmaceutical industry, and Information Resources, a Chicago company that produces sophisticated market research data using point-of-sale scanners and high-speed data processing.

Recognizing a transforming technology and then investing downstream from it should be a key concept for any direct stock investor.

One future downstream possibility has me worried, however. Someday you'll be able to go into a computer store and pay \$80 for a "Portfolio Manager" program, and I'll be out of business.

Future Pastures

What, then, might the next transforming technology be? The Internet would have to be at the top of the list. The product of the marriage of personal computing with fiber-optic data transmission, this baby is a real innovation—a low-cost, high-speed, worldwide, universally accessible communications system. It is already changing the world in many areas.

POLITICS

Tyrants always try to maintain a monopoly on information in order to control their population. State-controlled newspapers and broad-